

5.2 IMPERFECT COMPETITION

MARKING SCHEME

1990/CE/II/16 B	1997/CE/II/59 D	2009/CE/II/25 B (81%)	1992/CE/II/56 A	2005/CE/II/25 C (39%)
1991/CE/II/27 C	1998/CE/II/22 C	2010/CE/II/25 D (65%)	1993/CE/II/22 D	2007/CE/II/25 D (83%)
1992/CE/II/29 C	1999/CE/II/23 B	2014/DSE/I/17 B (80%)	1994/CE/II/30 C	2008/CE/II/25 C (55%)
1993/CE/II/30 D	2003/CE/II/49 D (39%)	2015/DSE/I/20 D (88%)	1996/CE/II/58 D	2012/DSE/I/18 A (75%)
1995/CE/II/29 D	2004/CE/II/25 A (58%)	2017/DSE/I/19 D (70%)	2000/CE/II/25 B	2013/DSE/I/17 D (40%)
1996/CE/II/25 D	2006/CE/II/24 B (71%)	2018/DSE/I/21 B (86%)	2001/CE/II/24 B	2016/DSE/I/20 B (26%)
2019/DSE/I/18 D	2021/DSE/I/09 D	2022/DSE/I/19 A	2023/DSE/I/18 B	2025/DSE/I/19 C
2025/DSE/I/33 B	2025/DSE/I/39 B			

1990/CE/II/2(c)

- a few dominating banks in the market
- high degree of interdependence
- restricted entry
- differentiated services
- non-price competition e.g. advertising

(3@, max: 6)

[Mark the first 2 points only. Mere mention of points without elaboration on Hong Kong's situation – max. 2 marks]

1991/CE/II/2(c)

(i) Monopoly

(1)

(ii) Explanation of two sources of monopoly power:

- natural monopoly (i.e. high set-up cost and economies of scale)
- potential entrants find it difficult to capture a large market share
- limited market size

(3@, max : 6)

[Mark the **FIRST TWO** points only.]

1993/CE/II/3(b)

- natural monopoly, e.g. economies of scale
- insufficient demand to support more than one MTR
- duplication of tunnels etc. means wastage

(3@, max: 6)

[Mere listing of points without elaboration – max: 2 marks. Mark the **FIRST TWO** points only.]

1996/CE/II/5

Monopolistic competition

(1)

Any three kinds of price or non-price competition:

- price competition (i.e. discounts)
- gifts given by some shops to their customers
- advertising and branding
- differentiated service (e.g. accepting different membership cards)

(1@, max: 3)

[Mark the **FIRST THREE** points only.]

Microeconomics by Topic

5. Market Structure

1997/CE/I/5

(a) Oligopoly / Monopolistic competition (1)

- (b) - price competition (1)
- differentiated products (1)

(c) Monopolistic competition:

- many sellers
- other forms of non-price competition
- free entry
- imperfect information (1@, max: 2)

OR

Oligopoly:

- a few dominating firms
- interdependency among competing firms or rivalry
- other forms of non-price competition
- imperfect information
- entry barriers

[Mark the **FIRST TWO** points only.]

[Either monopolistic competition or oligopoly which must match with (a)]

1998/CE/I/10(e)(ii)

Monopolistic competition (1)

1999/CE/I/9(d)

- a number of sellers / a few dominating firms
- interdependency
- free entry and exit
- differentiated products
- imperfect information
- non-price competition (1@, max: 2)

[Mark the **FIRST TWO** points only.]

2000/CE/I/9(c)

Oligopoly. (1)

- a few dominating firms
- interdependence
- non-price competition
- price leadership (1@, max: 2)

2002/CE/I/5

- many sellers
- differentiated products
- easy entry / exit
- imperfect information
- price competition
- non-price competition (1@, max: 3)

[Mark the **FIRST THREE** points only.]

2005/CE/I/3(b)

Oligopoly

(1)

- a few dominating sellers
- interdependency
- non-price competition
- heterogeneous product
- entry barriers
- imperfect information
- price competition

(1@, max: 3)

[Mark the **FIRST THREE** features only.]

2008/CE/I/3

Oligopoly

(1)

- a few dominating firms
- price searcher
- interdependence of policies
- product can be heterogeneous
- non-price competition
- not easy to enter the industry
- imperfect information

(1@, max: 3)*

[Mark the **FIRST THREE** points only.]

[*Remark: Do not mark this part of the answer if the candidate gave a wrong answer such as monopolistic competition to the first part of the answer]

2010/CE/I/4

Monopolistic competition

(1)

- many sellers
- free / easy entry (and exit)
- heterogeneous / differentiated products
- imperfect market information
- non-price competition
- price searcher

(1@, max: 3)*

[Mark the **FIRST THREE** features only.]

[*Remark: No mark will be awarded to this part if the type of market structure is wrongly identified]

2012/DSE/II/12(a)

Oligopoly

(1)

- a few dominating firms
- price searcher
- interdependence of pricing policies
- product can be heterogeneous
- non-price competition
- not easy to enter the industry
- imperfect information

(1@, max: 3)

[Mark the **FIRST TWO** points only.]

2014/DSE/II/2(c)

Monopolistic competition

(1)

Reasons:

- many sellers / no dominant sellers
- sellers selling heterogeneous products
- free entry into the market

(1@, max: 2)

[Mark the **FIRST TWO** points only.]

Microeconomics by Topic
5. Market Structure

2016/DSE/II/10(a)

Monopolistic competition

Features:

- many sellers
- price searchers
- (slightly) differentiated products
- non-price competition
- imperfect market information

[Mark the **FIRST TWO** points only.]

(1)

(1@, max: 2)

2017/DSE/II/3

Oligopoly

Features:

- several dominant firms
- entry barrier
- interdependent pricing strategies
- imperfect market information

[Mark the **FIRST TWO** features only.]

(1)

(1@, max: 2)

2023/DSE/II/4

Possible reasons:

- Imperfect market information. Some customers may buy from shops charging higher prices because they do not know about shops selling at lower prices. (This may be due to high costs of acquiring such information, viz., search costs.)
 - Heterogeneous products/services. Some customers may be willing to pay a premium for better services, e.g. better after-sales services such as longer warranty period / better product descriptions by salespersons.
 - Any other reasonable answer
- [Mark the **FIRST TWO** points only.]

} 2@;
max: 4

2024/DSE/II/1(b-c)

(b) Oligopoly

(1)

Features:

- a few dominant sellers
- sellers are interdependent in pricing strategy
- price rigidity/stickiness

[Mark the **FIRST TWO** points ONLY.]

} 1@
max: 2

(c) Possible sources of monopoly power:

- government franchise
- high set-up costs and natural monopoly
- government ownership

[Mark the **FIRST** point ONLY.]

} 1@
max: 1

2025/DSE/II/2(a)

(a) Reasons:

- Yoga studios provide heterogeneous services, e.g. different types of classes / different styles of teaching.
- Market information is imperfect, e.g. information about the prices and quality is not readily available to consumers.
- Sellers engage in non-price competition, e.g. advertising.
- any other relevant point

[Mark the FIRST TWO points only.]

} 2@
max: 4